

**BEFORE THE
FEDERAL MARITIME COMMISSION**

FMC DOCKET NO. 22-24

**DEFINITION OF UNREASONABLE REFUSAL TO DEAL
OR NEGOTIATE WITH RESPECT TO VESSEL SPACE
ACCOMMODATIONS PROVIDED BY AN OCEAN COMMON CARRIER**

COMMENTS OF DOLE OCEAN CARGO EXPRESS, LLC

Dole Ocean Cargo Express, LLC (“DOCE”) submits its comments on the Notice Of Proposed Rulemaking (“NPRM”) issued by the Federal Maritime Commission (“FMC” or “Commission”) with respect to the definition of an unreasonable refusal to deal or negotiate with respect to vessel space accommodations provided by an ocean common carrier. The NPRM appeared in the *Federal Register* on September 21, 2022 (87 *Fed. Reg.* 57674).

Introduction

DOCE is an ocean common carrier that transports containerized cargo in the foreign commerce of the United States. As an ocean common carrier, DOCE will be directly and substantially affected by any regulation adopted as a result of this proceeding.

For the reasons explained in greater detail below, DOCE urges certain revisions to the regulations proposed in the NPRM.

DOCE's primary concern is that the NPRM, if adopted, would unduly limit ocean common carrier flexibility in a manner that is inconsistent with existing law in two ways: (i) by improperly and unnecessarily limiting those factors that an ocean common carrier can rely upon and the Commission may consider in justification of the reasonableness of an ocean common carrier's conduct; and (ii) by establishing new anti-discrimination standards that are not contemplated or authorized by statute. Each of these concerns is discussed in greater detail below.

The Factors Considered In Assessing Reasonableness Are Too Narrow

The NPRM suggests that a refusal to deal can be justified as reasonable based on legitimate transportation-related factors and reasonable business decisions. 87 *Fed. Reg.* 57677. However, the NPRM and the actual proposed regulation are arguably inconsistent with one another, producing a lack of clarity with respect to factors to be used in assessing reasonableness. Moreover, both are overly narrow in terms of the factors that may be lawfully considered.

DOCE urges the Commission to revise proposed 46 C.F.R. §542.1(b)(2)(iv) to read in a manner similar to 46 C.F.R. §545.5(f), so that it is clear that all factors, arguments, and evidence may be considered in connection with an assessment of reasonableness. Given the Commission's statement that an assessment of reasonableness is factual and must be made on a case-by-case basis, it is only reasonable to ensure that any and all considerations which may bear on a particular situation may be considered.

There are any number of transportation factors and/or business decisions which might reasonably justify a carrier refusing to deal with a particular customer, or choosing to deal with one customer rather than another. Absent the clarification suggested by DOCE above, it is not clear that such factors could and would be considered as making it reasonable for a carrier to refuse to deal with a particular customer. For example, DOCE has a corporate affiliation with a cargo owner/shipper. In some trade lanes, DOCE commits a significant portion of its available vessel capacity to the transportation of the cargo of its corporate affiliate. DOCE believes this is a factor could justify a decision not to deal with other customers in those trade lanes. Similarly, there are shippers that issue bid tenders for their cargo. In some instances, carriers must agree to certain terms and conditions of those tenders as a pre-condition to participating in the tender without an opportunity for bona fide negotiations. If a carrier finds those terms and conditions legally and/or commercially unacceptable and thus declines to participate in the tender, this should not be considered an unreasonable refusal to deal.

The foregoing are just two examples of factors that should be considered when assessing the reasonableness of a carrier's conduct. There are undoubtedly numerous other factors that a carrier might consider in a particular situation. However, it is not clear from the NPRM and the language of the proposed regulation that the foregoing factors (or others) would in fact be considered by the Commission in the event the carrier were to be accused of an unreasonable refusal to deal.

By revising the language of the proposed regulation to include broader language similar to that found in 46 C.F.R. §545.5(f) as suggested above, the

Commission would avoid inadvertently excluding legitimate factors relevant to reasonableness from the assessment of carrier conduct.¹

The NPRM Would Establish Anti-Discrimination Standards That Contravene Law

The NPRM and the proposed regulation would effectively establish new anti-discrimination standards that are contrary to applicable law. The proposed regulation and the supplemental information should be revised to make the new regulation consistent with applicable law.

In the supplemental information, the Commission recognizes quite properly that an ocean common carrier does not have a legal obligation to grant a contract to every potential party. 87 *Fed. Reg.* at 57677. However, the supplemental information goes on to state that “upon establishing criteria for granting preferential terms to parties who are able to meet those specified terms, the ocean common carrier then has a duty under the Shipping Act to apply such criteria in a consistent and fair manner without differentiating based on illegitimate transportation factors. *Id.* This standard is incorporated into 46 C.F.R. §542.1(b)(2)(ii), which requires business decisions to be applied in a fair and consistent manner.

¹ The cases cited by the Commission in support of its narrow approach to assessing reasonableness (*Credit Practices of Sea-Land Service, Inc. and Nedlloyd Lijnen, B.V.* and *Department of Defense and Military Sealift Command v. Matson Navigation Co.*) are of limited utility. Both pre-date the 1998 amendments to the Shipping Act, which provided for greater flexibility in service contracting. *Matson* pre-dates the Shipping Act of 1984, and thus was decided in a pre-service contract era. Neither case deals with vessel space accommodations. The discussion of transportation factors in *Matson* is dicta that appears only in the summary of one party's argument. Moreover, *Credit Practices* can be read to support the position that transportation factors include any factor involved in traditional ratemaking processes, 25 S.R.R. at 1315, which DOCE believes is consistent with the revision it is suggesting.

The foregoing aspects of the NPRM and the proposed regulation are contrary to law. As an initial matter, the case cited for the proposition that that preferential terms must be applied in a fair and consistent manner dealt with a marine terminal, and did not deal with service contracts. Thus, it does not support the proposition for which it is cited.

Moreover, any suggestion that favorable commercial terms such as those provided to customers under service contracts must be made available in a fair and consistent manner is not legally supportable. Prior to 1998, carriers were required to publish the essential terms of their service contracts, including rates, and make those terms available to any shippers that were similarly situated to the original service contract signatory. In addition, certain anti-discrimination provisions of the Shipping Act were applicable to service under service contracts. Under that legal regime, one might argue that business decisions needed to be made in a fair and consistent manner.

However, the foregoing legal regime was substantially revised by the Ocean Shipping Reform Act of 1998. The so-called “me-too” right of similarly situated shippers was eliminated, service contracts were made confidential, and the prohibited acts were revised to limit their application to service contracts. In making these changes to the statute, Congress was clear that the purpose of the changes was to permit greater flexibility in contracting:

New sections 10(b)(5) and (9) substantially increase the discretion given to common carriers to provide different service contract terms to similarly situated shippers. In addition to eliminating the current requirement in section 8(c) of the 1984 Act that ocean common carriers provide the same service contract terms to similarly situated shippers, the bill narrows the

application of the prohibited acts with respect to service pursuant to common carrier service contracts.

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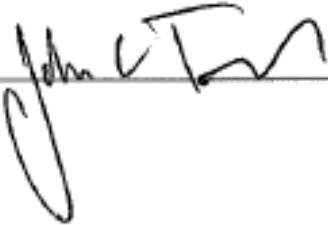
The Committee intends that common carriers be afforded the maximum flexibility to differentiate their service contract terms and conditions with respect to individual shippers and ocean transportation intermediaries in this more competitive environment.

S. Rep. 61, 105th Cong., 1st Sess., pp 28-29. If Congress had intended OSRA 2002 to restrict the flexibility in contracting granted by OSRA 1998 and to require carriers to grant service contract terms on a fair and consistent basis as suggested by the NRPM, it would have restored the requirements of the Shipping Act as they existed prior to 1998. It did not do so. It would be contrary to law for the Commission to adopt a rule defining an unreasonable refusal to deal in a manner that would impinge upon commercial flexibility when Congress has not limited such flexibility by statute.

In light of the foregoing, the final rule adopted in this proceeding should not require that business decisions made with respect to service contracting be applied in a fair and consistent manner. It is the essence of service contracting that carriers be able to treat each customer differently. Accordingly, the requirement that business decisions be applied in a fair and consistent manner should be removed from proposed §542.1(b)(ii) and the supplemental information accompanying the final rule should make clear that the prohibition of unreasonable refusals to deal or negotiate does not limit the

freedom of ocean common carriers with respect to service contracting.

DOLE OCEAN CARGO EXPRESS, LLC
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By: _____

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